UNITED STATES BANKRUPTCY COURT
FOR THE DISTRICT OF PUERTO RICO

In re:
ORGANIC POWER, LLC.
Debtor.

Bankr. Case No. 19-01789 (ESL)
Chapter 11
Adv. Proceeding No. _____

ORGANIC POWER, LLC.
Plaintiff,
v.
The U.S. Small Business Administration and Jovita Carranza, solely as the Administrator of the U.S. Small Business Administration,
Defendant

COMPLAINT FOR DECLARATORY JUDGMENT, WRIT OF MANDAMUS, AND INJUNCTIVE RELIEF

TO THE HONORABLE COURT:

COME NOW Organic Power, LLC. ("OP" or "Debtor"), through the undersigned counsel very respectfully avers and prays as follows:

I. INTRODUCTION

1. Under the Coronavirus Aid, Relief, and Economic Security Act, H.R. 748 (the "CARES Act"), Congress and the President temporarily added a new program entitled the "Paycheck Protection Program" to the SBA's 7(a) Loan Program (hereinafter referred to as the "PPP").

2. The PPP and its associated benefits are intended to provide economic relief to small businesses nationwide who are adversely impacted under the Coronavirus Disease 2019 ("COVID-19") Emergency Declaration issued by President Donald Trump on March 13, 2020.

3. This is an action against the SBA under the Administrative Procedure Act, 5 U.S.C. §701 et seq. and section 525 of the United States Bankruptcy Code, 11 U.S.C. §525, seeking: (a) a declaratory judgment that the SBA's implementation of the PPP against prospective borrowers who are debtors in bankruptcy is unlawful, discriminatory, and beyond its statutory authority; (b) a writ of mandamus under 28 U.S.C. § 1361 to compel the SBA to remove its disqualification of bankruptcy debtors as viable applicants from all PPP applications, including the PPP Official SBA Form 2484 (the "PPP Application"); and (c) an order enjoining the SBA from denying the Plaintiff a loan under the PPP based on the Plaintiff's status as a chapter 11 debtor.

2. The PPP and its associated benefits are intended to provide economic relief to small businesses nationwide who are adversely impacted under the Coronavirus Disease 2019 ("COVID-19") Emergency Declaration issued by President Donald Trump on March 13, 2020.

4. It is germane to point out that other Bankruptcy Courts have already ruled that bankruptcy debtors that meet all other requirements for the PPP Loan are entitled to receive the PPP Loan. See, *In re Asteria Education, Inc.*,

"PPP Application"); and (c) an order enjoining the SBA from denying the Plaintiff a loan under the PPP based on the Plaintiff's status as a chapter 11 debtor.

4. It is germane to point out that other Bankruptcy Courts have already ruled that bankruptcy debtors that meet all other requirements for the PPP Loan are entitled to receive the PPP Loan. See, *In re Asteria Education, Inc.*, Dkt. 129, Case No. 20-50169 (Bankr. W.D. Tex., April 8, 2020). ("In the context of the CARES Act or the Interim Final Rules, as they apply to the Debtor, there is no such prohibition with regard to debtor under Chapter 11 of title 11 being the recipient of a loan under the revised SBA 7(a) program known as the PPP or under the EIDL program portions of the CARES Act."). See also, Temporary Restraining Order, *In re Hidalgo County Emergency Service*, Case No. 19-20497; *Hidalgo County Emergency Service Foundation v. Jovita Carranza in her capacity as Administrator of the U.S. Small Business Administration*, Dkt. 18, Adv. Proc. 20-02006 (Bankr. S.D. Tex., April 25, 2020).

II. THE PARTIES

5. Organic Power, LLC., is a limited liability corporation existing under the laws of the Commonwealth of Puerto Rico with principal offices in Vega Alta, Puerto Rico; created on October 26th, 2012. Its resident agent is Miguel Pérez Valdés. Its physical address is Sabanera de Dorado, 3 Camino del Turpial, Dorado, Puerto Rico; and the telephone number is 787.333.0280.

6. The SBA is an agency of the United States of America whose central office is located at 409 Third Street, S.Q., Washington DC 20416.

III. JURISDICTION AND VENUE

7. The Court has jurisdiction over this adversary proceeding pursuant to 28 U.S.C. §§157 and 1334. This is a core proceeding pursuant to 28 U.S.C. §157(b)(2)(D). Jurisdiction is also proper under the judicial review provisions of the Administrative Procedure Act ("APA"), 5 U.S.C. § 702.

8. Declaratory and injunctive relief is sought consistent with 5 U.S.C. § 706 and as authorized in 28 U.S.C. § 2201 and 2202.

9. Venue is proper in this district pursuant to 28 U.S.C. §§ 1391(b)(2) and (e)(1) and 28 U.S.C. § 1409(a).

Bankruptcy Court for the District of Puerto Rico, commencing the case captioned *In Organic Power, LLC*, Case No. 19-01789 (the "Chapter 11 Case").

10. The Debtor states that it consents to the bankruptcy court hearing and determining all claims and issues in this adversary proceeding and entering final judgments and orders on all claims, including money judgments as appropriate, subject to review under 28 U.S.C. § 158.

IV. FACTUAL BACKGROUND

11. On April 19, 2019 ("Petition Date"), Plaintiff filed a voluntary petition for relief under Chapter 11 of the United States Bankruptcy Code in the United States Bankruptcy Court for the District of Puerto Rico, commencing the case captioned In Organic Power, LLC, Case No. 19-01789 (the "Chapter 11 Case").

12. Since the Petition Date, the Plaintiff has been operating as a Debtor-in-Possession pursuant to §§1107 and 1108 of the Bankruptcy Code.

13. On March 27, 2020, the President of the United States signed into law the CARES Act, S. 3548, 116th Cong. (2020). The CARES Act is intended to, among other things, provide stimulus to the economy by distributing approximately $2.3 trillion to various industries, programs, and individuals.

14. The PPP is set forth in Title I of the CARES Act and is a temporary, short-term program, and amends Section 7(a) of the Small Business Act (15 U.S.C. § 636(a)), the regulatory scheme through which the SBA guarantees covered loans.

15. The PPP allows lenders to give federally guaranteed loans to small businesses to cover payroll during the period of February 15, 2020 through June 30, 2020, as well as other expenses including payments of interest on mortgages, rent, utilities and interest on other debt.

16. No collateral or personal guarantees are required to receive a PPP loan.

17. Neither the SBA nor lenders charge any fees for the PPP loan.

18. The loan has very favorable terms in that it matures in 2 years and carries an interest rate of 1%.

19. Further, the PPP loan may be fully forgiven if the funds are used for payroll costs, interest on mortgages, rent, and utilities, and certain other conditions are met as set forth in the CARES Act.

billion authorized for the PPP had been exhausted.

25. The CARES Act grants the SBA emergency rule making authority and charges the SBA to issue regulations to carry out certain of the programs contemplated in the CARES Act, including the PPP. *See*, CARES Act, section 1114.

26. On April 2, 2020, the SBA issued an interim final rule (the "First Interim Rule") providing guidance on, among other things, the eligibility requirements to receive a loan under the PPP.

27. The First Interim Rule adopts the ineligibility standards set forth in section 120.110, title 13 of the Code of Federal Regulations ("CFR 120.110"), as further described in SBA's Standard Operating Procedure 50-10, Subpart B, Chapter 2 ("SOP 50-10"). *See* First Interim Rule, 2(c) ("Businesses that are not eligible for PPP loans are identified in 13 CFR 120.110 and further described further in SBA's Standard Operating Procedure").

28. The SOP 50-10 provides that a "Small Business Applicant" must, among other things: be an operating business; be located in the United States; be small (as defined by the SBA); and demonstrate the need for the desired credit. *See* SOP 50-10, pg. 85.

20. Limited liability companies like Plaintiff are eligible to receive funding under the PPP.

21. The PPP loan pool, however, is limited in size and the PPP is administered on a first-come-first-served basis.

22. To date, Congress has not acted upon additional funds to the PPP. Additional funding has been allocated to the PPP and will be available soon. Accordingly, the PPP contains a finite amount of money. Congress has reached a deal to allocate additional funds to the PPP.

23. The demand for the PPP program has been overwhelming.

24. On April 16, 2020, the SBA announced that the $349 billion authorized for the PPP had been exhausted.

25. The CARES Act grants the SBA emergency rule making authority and charges the SBA to issue regulations to carry out certain of the programs contemplated in the CARES Act, including the PPP. See, CARES Act, section 1114.

26. On April 2, 2020, the SBA issued an interim final rule (the "First Interim Rule") providing guidance on, among other things, the eligibility requirements to receive a loan under the PPP.

27. The First Interim Rule adopts the standards set forth in section 120.110, title 13 of the Code of Federal Regulations ("CFR 120.110"), as further described in SBA's Standard Operating Procedure 50-10, Subpart B, Chapter 2 ("SOP 50-10"). See First Interim Rule, 2(c) ("Businesses that are not eligible for PPP loans are identified in 13 CFR 120.110 and further described further in SBA's Standard Operating Procedure").

28. The SOP 50-10 provides, among other things, that a "Small Business Applicant" must: be operating a business; be located in the United States; be small (as defined by the SBA); and demonstrate the need for the desired credit. See SOP 50-10, pg. 85.

29. The SOP 50-10 also provides that the businesses listed in CFR 120.110 are not eligible for an SBA loan. Bankruptcy debtors are not the listed as an ineligible business in CFR 120.110. Nothing else in the SOP 50-10 makes the Plaintiff ineligible for a PPP loan.

30. Notwithstanding the foregoing, on April 2, 2020, the SBA issued a PPP Application

33. Nothing in the CARES Act, SBA Regulations, SOP 50-10, the First Interim Rule or the Second Interim Rule authorizes or permits the SBA to exclude debtors in bankruptcy from the PPP.

34. Plaintiff, like many other businesses, has been financially affected by the COVID- 19 pandemic in ways that could not have been foreseen.

35. On March 19, 2020, the Governor of Puerto Rico instituted a quarantine/total closure order for Puerto Rico (the "Quarantine Order").

36. Pursuant to the Quarantine Order, only governmental essential services and gas, health and food commercial businesses may open and or attend their offices. Only those citizens who are attending those listed services may leave their residences.

37. On March 26th, 2020, the governor extended the quarantine/total closure until April 12th, 2020.

38. Again, on April 11th, 2020, the governor extended the lockdown until May 6th, 2020.

39. Plaintiff relies on, as its primary source of income, its daily basis operations.

40. Because all non-essential businesses have been ordered to close, Plaintiff is experiencing a significant decrease in revenue and anticipates that for as long as the "stay at home" order remains in effect, it will struggle to continue making payroll.

that purports to disqualify bankruptcy debtors from participation in the PPP. A true and correct copy of the PPP Application is attached hereto as Exhibit A.

31. Official SBA Form 2484, Paycheck Protection Program Lender Application and Loan Guaranty ("PPP Lender Application"), states that the PPP loan cannot be approved unless the applicant certifies that neither the applicant nor any owner is presently involved in any bankruptcy. A true and correct copy of the PPP Lender Application is attached hereto as Exhibit B.

32. On April 4, 2020, the SBA issued a supplemental interim final rule (the "Second Interim Rule") further providing guidance on the PPP. The Second Interim Rule does not provide that bankruptcy debtors are ineligible for the PPP loan. Defendants implemented the PPP in a manner that unlawfully excluded debtors in bankruptcy.

33. Nothing in the CARES Act, SBA Regulations, SOP 50-10, the First Interim Rule or the Second Interim Rule authorizes or permits the SBA to exclude debtors in bankruptcy from the PPP.

34. Plaintiff, like many other [businesses] financially affected by the COVID-19 pandemic in ways that could not have been foreseen.

35. On March 19, 2020, the Governor of Puerto Rico instituted a quarantine/total closure order for Puerto Rico (the "Quarantine Order").

36. Pursuant to the Quarantine Order, essential services businesses may open and only gas, health and food commercial offices [may open]. Only those citizens who are attending those listed services may leave their residences.

37. On March 26th, 2020, the governor extended the quarantine/total closure until April 12th, 2020.

38. Again, on April 11th, 2020, the governor extended the lockdown until May 6th, 2020.

39. Plaintiff relies on, as its primary source of income, its daily basis operations.

40. Because all non-essential businesses have been ordered to close, Plaintiff is experiencing a significant decrease in revenue and anticipates that for as long as the "stay at home" order remains in effect, it will struggle to continue making payroll.

102. Plaintiff has no adequate remedy at law.

VIII. COUNT IV: MANDAMUS UNDER 28 U.S.C. §1361

103. Plaintiff hereby incorporates each and every allegation contained in foregoing paragraphs with the same force and effect as though fully set forth herein.

104. The Defendants have the non-discretionary duty to comply with the CARES Act and the provisions of the PPP to apply criteria to the PPP that are substantively and/or procedurally valid and to avoid imposing criteria to the PPP that are substantively and/or procedurally *ultra vires*.

105. Plaintiff is entitled to a writ of mandamus under 28 U.S.C. §1361 to compel the SBA to the remove from all PPP applications, including the PPP Application and the PPP Lender Application its disqualification of bankruptcy debtors as viable applicants because SBA acted beyond its statutory authority in implementing such disqualifying factors.

IX. PRAYER FOR RELIEF

WHEREFORE, Plaintiff prays for judgment as follows:

A. For a declaratory judgment that Defendants' implementation of the PPP in a manner that causes debtors

in bankruptcy, including Plaintiff, to be ineligible is "in excess of statutory jurisdiction, authority, or limitations, or short of statutory right," in violation of the APA;

B. For entry of preliminary and permanent injunctive relief enjoining Defendants from denying Plaintiff a loan under the PPP based on Plaintiff's status as a chapter 11 debtor;

C. For a declaratory judgment that Defendants' implementation of the PPP in a manner that causes debtors in bankruptcy, including Plaintiff, to be ineligible is "arbitrary, capricious, [or] an abuse of discretion" in violation of the APA; and (b) preliminary and permanent injunctive relief enjoining Defendants from denying Plaintiff a loan under the PPP based on Plaintiff's status as a chapter 11 debtor;

D. For a declaratory judgment that Defendants' implementation of the PPP in a manner that causes debtors in bankruptcy, including Plaintiff, to be ineligible is unlawful and discriminatory against debtors in bankruptcy in violation of Section 525(a) of the Bankruptcy Code; and (b) preliminary and permanent injunctive relief enjoining Defendants from denying Plaintiff a loan under the PPP based on Plaintiff's status as a chapter 11 debtor;

Respectfully submitted,
On this 27th day of April of 2020.

E. For entry of a writ of mandamus under 28 U.S.C. §1361 to compel the SBA to remove from all PPP applications, including the PPP Application and the PPP Lender Application its disqualification of bankruptcy debtors as viable applicants because SBA acted beyond its statutory authority in implementing such disqualifying factors; and

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F. All other relief as may be just and proper.

Respectfully submitted,

On this 27th day of April of 2020.

/s/ Rafael A. Gonzalez Valiente

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